3. Emphasis on work only: It ignores creativity, human relations, talents etc and give importance to work only.

Informal organisation

Informal organisation is the outcome of personal and social relationship between the individuals and the organisation. It develops spontaneously as the result of interactions between persons. It exists outside the formal authority system, without any set of rigid rules. It was first systematically explored in the pioneering studies carried on by Elton Mayo and others at the Hawthorne plant of western Electric Company. It exists in all the offices such as Government, Private, Public and in business also. In Informal organisation there are no written rules like Formal organisation. It cannot be forced or controlled by the management. There is no defined structure for communication.

Definition

According to Chester Barnard, **"Informal organisations as the aggregate of personal contacts and interactions and the associated group of people, such organisations are indefinite, structures less and are shapeless mass of varied densities".**

Merits of informal organisation

1. Fast Communication: It does follow scalar chain, so the communication will spread faster.
2. Fulfills social needs: It gives importance to psychological and social needs of employees which motivate the employees.
3. Correct feedback: Though the group is informal, they don't have the fear of the boss, so the employers at top level may get the correct feedback from employees of various departments.

Comparison between formal and informal organisation

S.No.	Basis for comparison	Formal organisation	Informal organisation
1.	Meaning	An organisation where the job of an employee is clearly defined, whose authority, responsibility and accountability are fixed.	An organisation formed with a network of interpersonal relationship of employees.
2.	Creation	It is consciously and deliberately created.	It arises spontaneously.
3.	Purpose	To fulfill the objective of the organisation.	To satisfy the social and psychological needs.
4.	Communication	Formal communication	Informal communication
5.	Control Mechanism	Rules and procedure	Personal relationship between the individuals
6.	Authority and Responsibility	Authority flows downwards and responsibility flows upwards	There is no flow of responsibility
7.	Size	Large	Small
8.	Stability	Permanent and stable	Unstable

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